

$$100 \times 125 = 12500 - 2500 (\text{margin paid}) = 10000 \text{ rs}$$

*If the stock fall to 1900 then your loss will be the margin paid by you that is 2500*

*let consider you think the price of SBI will go down at the month of march at present it is 2000 and you*

*Think it will go to 1900 so you buy put option a lot of SBI of size 125 of spot price of 1900 and the price of call is 25 rs then total margin you have to pay is*

*125 \* 20 = 2500 rs if all goes well and the price of SBI is 1875 above the spot price and your call price also goes up say 100 then the total profit will be*

$$100 \times 125 = 12500 - 2500 (\text{margin paid}) = 10000 \text{ rs}$$

*if the stock rise to 2100 then your loss will be the margin paid by you that is 2500*

*note ; use f&o for hedging your stock only*

## **Hedging**

*A risk management strategy used in limiting or offsetting probability of loss from fluctuations in the prices of commodities, currencies, or securities. In*